

HOUSE No. 4658

The Commonwealth of Massachusetts

HOUSE OF REPRESENTATIVES, October 29, 2025.

The committee on Labor and Workforce Development, to whom was referred the petition (accompanied by bill, House, No. 2154) of Steven Owens and James K. Hawkins relative to parking benefits, reports recommending that the accompanying bill (House, No. 4658) ought to pass.

For the committee,

PAUL MCMURTRY.

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In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act establishing parking cash-out.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 90 of the General Laws, as appearing in the 2022 Official Edition,
2 is hereby amended by inserting after chapter 90J the following chapter:-

3 CHAPTER 90K

4 Parking Cash-Out

5 Section 1. (a) As used in this section, the following words, unless the context clearly
6 requires otherwise, shall have the following meanings:-

7 “Daily parking cash-out” shall mean employees elect to opt in or out of parking on a
8 daily basis and receive the daily market rate cost of parking amount of benefit for each day that
9 the employee chooses to forego driving alone to work; provided, if an employer offers a parking
10 benefit exclusively for the days an employee is physically present at work, and the parking is not
11 reserved for or available to the employee on other days, daily parking cash-out shall mean
12 offering a cash-out option only for those days the employee is physically at work.

“Employee” shall have the same meaning as provided in subsection (h) of section 1 of chapter 151A.

“Employer” shall have the same meaning as provided in subsection (i) of said section 1 of said chapter 151A; provided, however, that the United States government shall not be considered an employer; provided further, however, that an individual employer shall be determined by the Federal Employer Identification Number.

“Market rate cost of parking” shall mean an amount no less than the cost of parking if the parking were obtained by an individual unaffiliated with the property on which parking is provided or by the employer through a transaction with no special rate due to a property lease.

“Monthly parking cash-out” shall mean employees elect to opt in or out of parking on a monthly basis and receive the monthly market-rate cost of parking amount of benefit for each month that the employees choose to forego driving alone to work; provided, however, that employees may still pay market rate for their own parking on certain days.

"Parking subsidy" shall mean the difference between the market rate cost of parking owned, leased or otherwise subsidized or paid for by the employer and the cost paid by an employee for the parking space.

“Parking cash-out” shall mean an employer-funded program under which an employer offers to provide a benefit of equivalent financial value to the parking subsidy, which shall include offering employees a choice of tax-exempt employer-paid transit or vanpool subsidies, taxable cash or a combination of the two, such that the value of the total benefit received is equal to or greater than the market value of the parking space.

(b) The employer shall maintain appropriate evidence of its effort to establish the monthly or daily market rate cost of parking for at least 4 years. If the amount cannot be established because the parking is unavailable to the public, then an amount that is the monthly or daily price for use of a similar parking space within one-quarter mile of the place of employment shall be used; provided, however, that documentation supporting the appropriateness of the price shall be maintained by the employer, which could include evidence of a public offer, such as through a printed or otherwise publicly displayed advertisement, or a listing including price, such as on a publicly accessible parking smartphone application, from within the previous 6 months, available for acceptance by a member of the public for use of that parking space. If the employer uses a listing as the basis for determining the market rate cost of parking, then the employer shall maintain appropriate evidence of the offer it relied upon, such as a physical copy or photograph of an advertisement or a screenshot showing availability and price within a parking smartphone application, for at least 4 years from the time of any financial allowance offer or payment is made. The market rate cost of parking shall be adjusted periodically in accordance with subsection (g), unless it is reassessed per the methods provided in this subsection, which employers shall do at least every 4 years. If the parking used by the employee is not commercially available to the public and there is no commercially available parking within one quarter-mile of the place of employment, then the employer shall document and retain records related to the failed effort to find commercially available parking; provided, that the monthly market rate cost of parking shall mean the higher of the monthly price of the lowest priced transit serving within one-quarter mile of the site or 60 dollars per month, and the daily market rate cost of parking shall mean the higher of the daily price of the lowest price transit service within one-quarter mile of the site or 3 dollars per day, adjusted based on subsection (g).

(c) The requirements of this section shall apply to every employer that offers a parking benefit and that has at least 50 employees, but will not apply to employers that choose to discontinue offering a parking benefit; provided, however, that said employers shall continue to comply with report filing and record retention requirements related to the prior offering of parking benefits; provided further, however, that this subsection shall not apply to employers with employees who are (i) covered by a collective bargaining agreement that requires the employer to provide the employee subsidized parking, except if the agreement has expired or is extended after the date of enactment of this law, or (ii) are required to operate their own vehicle for employment purposes and who are reimbursed by their employers in accordance with Internal Revenue Service regulations for said use; provided further, this subsection shall not apply to employers that have, prior to enactment, leased employee parking that prohibits subletting of parking and penalizes the reduction of the number of parking spaces subject to the lease, until the expiration of that lease excluding lease extensions, or January 1, 2027, whichever is sooner.

(d) Employers that have 50 or more employees must implement a daily cash-out program; provided, however, that the employers may implement a monthly parking cash-out program only in the first year when required to implement a parking cash-out program. Employers with fewer than 50 employees or those that do not own or lease parking spaces shall be exempt. Employers may also apply for a temporary waiver based on financial or administrative hardship, subject to review.

(e) An employee shall only be entitled to parking cash-out after declining the parking benefit offered by the employer.

(f) Employers shall clearly inform each employee in writing of their right to receive parking cash-out, if applicable, and shall maintain records of related communications with employees.

(g) Beginning 1 year after enactment, the commissioner of the department of revenue shall annually adjust the amount of the market rate cost of parking based on the changes in the Massachusetts Consumer Price Index. This adjustment shall apply in years when employers have not reassessed the market rate cost of parking.

(h) At the request of an employer that has implemented a parking cash-out program, the municipality in which this program exists shall grant an appropriate reduction in the parking requirements otherwise applicable, based on the demonstrated reduced need for parking; provided, that the space no longer needed for parking may be used for other purposes based on an agreement between the employer and the municipality.

(i) A parking cash-out program may include a requirement that employee participants certify that they will comply with guidelines established by the employer designed to avoid neighborhood parking problems; provided, that employees not complying with the guidelines will be ineligible for parking subsidies and for the parking cash-out program.

Section 2. (a) Each covered employer shall, by 1 year after enactment, and every 2 years thereafter, submit to the department of transportation a report that includes, but shall not be limited to, (i) the total number of employees; (ii) the number of employees offered a parking benefit, the market rate cost of parking and the amount, if any, that employees contribute to their parking expenses; (iii) the number of employees using a parking benefit; (iv) the number of employees offered parking cash-out, separately reporting offers of monthly and daily parking

cash-out; (v) the number of employees accepting the parking cash-out option separately reporting acceptance of monthly and daily parking cash-out; and (vi) any other information required by the department of transportation.

(b) Beginning 15 months after enactment, and every 2 years thereafter, the department of revenue shall submit to the joint committee on transportation, the joint committee on revenue, the house committee on ways and means and the senate committee on ways and means a report that includes, but shall not be limited to, (i) aggregate data from the reports required by subsection (a); (ii) an assessment of how many covered employers have not filed the report required by subsection (a); and (iii) a description of actions that will be taken to achieve full compliance with this section.

Section 3. (a) The department of transportation shall create a program to promote the awareness of parking cash-out and to offer related compliance assistance to employers. This program shall include, but not be limited to, information made available in a variety of languages in a prominent place on the website of the department.

(b) The department of revenue shall impose fines or penalties, no less than the amount that employees would have been entitled to be offered as parking cash-out, and no more than 5 times that amount, for violations of this act.

(c) The department of revenue shall appoint or hire no fewer than 2 employees to oversee the implementation of a parking cash-out program and the provisions of this act including, but not limited to, imposing fines, preparing reports and managing awareness programs.